

Replication Package

Institutional Bondholdings: Anticipation of Credit Rating Downgrades by Long-Horizon Investors Matthias Xavier Huber — HEC Paris

This package reproduces all figures and tables in the paper. It builds a disaggregated bond × fund × firm × quarter panel from eMAXX, Mergent FISD, WRDS Bond Returns, S&P Capital IQ, and Markit CDS, then runs descriptive statistics and stacked difference-in-differences event studies around the first credit rating downgrade. It is organized so a reproduction team can choose **how far upstream to start**.

How to reproduce

Goal: regenerate every figure and table in the paper. Edit the **two settings at the top of `setup.do`** — `${REPL}` (where this package lives on your machine) and `${mode}` (how far upstream you want to start) — then **run `setup.do`**. No `cd` is needed; every path is absolute.

There are **three ways to reproduce the paper**, from fastest to most thorough. They are fully independent — each writes to its own location and leaves the others (and the shipped files) untouched — so you can run any one of them, or all three, without them affecting each other.

Step 1 — from the shipped sample · ≈ 20 minutes

Set `mode = "shipped"` (the default). Uses the prebuilt working sample that already ships in `Data/Working Files/` and produces every figure and table in the paper. This is the recommended quick reproduction: there is no sample to build, so you only run the analysis.

Step 2 — from the reference vendor files · ≈ 1–2 hours

Set `mode = "reference"`. Rebuilds the working sample from the frozen reference vendor files, then runs the analysis — confirming that the sample-construction code reproduces the shipped sample.

Step 3 — from the raw vendor data · several hours

Set `mode = "raw"`. Rebuilds every vendor database from the raw source files, then the working sample, then the analysis — the complete end-to-end reproduction.

What to run

1. **`setup.do`** — set `${REPL}` and `${mode}`, then run it.
 2. **`Sample Replication/0_run_sample.do`** — builds the working sample. Needed only for Step 2 / Step 3; for Step 1 (shipped) there is nothing to build, so skip it.
 3. **`Paper Replication/0_run_paper.do`** — writes every figure and table to `Paper Replication/Figures and Tables/`.
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1 2 3 4 5 6 7 8 9 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25 26 27 28 29 30 31 32 33 34 35 36 37 38 39 40 41 42 43 44 45 46 47 48 49 50 51 52 53 54 55 56 57 58 59 60 61 62 63 64 65 66 67 68 69 70 71 72 73 74 75 76 77 78 79 80 81 82 83 84 85 86 87 88 89 90 91 92 93 94 95 96 97 98 99 100

particular (1993: 122–123, 125).

☐ **Yes**
☐ **No**

Working Files/ (shipped SampleFinalCDS, _WV, _master; rebuilds ->
 Rebuilt_reference/ | Rebuilt_raw/)
 Reference Files/ (FROZEN read-only: CapitalIQ_Final, CDS, WRDS_Bond>Returns)

Data on GitHub: the Data/ tree is ~100 GB and is *not* committed (it is git-ignored). The repository holds the code, setup.do , and docs; the data is distributed separately (Dropbox / institutional access).

Pipeline map

What each script reads, writes, and in which mode it runs. `${wsdir}` is the working-sample folder chosen by `${mode}` (Data/Working Files/ for shipped , .../Rebuilt_reference/ or .../Rebuilt_raw/ for a rebuild).

Step	Script	Reads	Writes
0	setup.do	—	set \${wsdir}
1	Sample Replication/0_run_sample.do	(raw) Data/<source>/Raw ...	orc
1a	eMAXX_1998–2023.do , MergentFISD.do , CapitalIQ_D0.do , WRDS_Bond>Returns.do , CDS Data.do	raw vendor files	De par
1b	Sample Replication/Sample_Creation.do	\${in_*} vendor inputs + eMAXX *_Complete	\${wsdir}/_master.dta ..._
2	Paper Replication/0_run_paper.do	\${wsdir}/..._WV.dta	orc
2a	Sample Replication/Build_Master.do	\${wsdir}/..._WV.dta	\${wsdir}/_master.dta
2b	Code/1_Descriptives.do	\${wsdir}/_master.dta	De
2c	Code/2_Baseline_Analysis.do	_master.dta	Bas
2d	Code/2c_Baseline_Analysis_Extensive.do	_master.dta	Bas
2e	Code/3_Disaggregated_Threshold.do	_master.dta	Thr
3	Investment Management Sample Creation/0_run_im_sample.do	\${wsdir}/..._WV.dta + \${emaxx}/PERSONNEL_Complete.dta	\${wsdir}/_master.dta

In shipped mode step 1 builds nothing (the prebuilt sample is used); start at step 2. See VARIABLE_DICTIONARY.md for the variables these scripts construct, and Paper Replication/README.md for the internal-vs-paper table/figure numbering.

Requirements

Stata 17+ (tested on StataNow/MP). **setup.do** auto-installs the required user-written **commands** on its first run (only the ones that are missing), so no manual setup is needed — as long as the machine has internet access. For reference (or to pre-install offline), they are:

```
ssc install reghdfe
ssc install ftools
ssc install estout
ssc install coefplot
ssc install winsor2
ssc install egenmore
ssc install distinct
ssc install unique
net install grc1leg, from("http://www.stata.com/users/vwiggins")
```